AOU
الأكاديمية العربية المفتوحة
Arab Open University
Egypt

Faculty of Business Administration

FIN342
Financial & Securities Markets
Version B

Final Examination
2024-2025 / Fall

11-Jan-2025

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Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 3 Hours

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the exam
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Solve All questions

Question 1: (15 marks) (10 min)

The yield on a corporate bond is 10% and it is currently selling at par. The marginal tax rate is 20%. A par value municipal bond with a coupon rate of 8.50% is available. Which security is a better buy?

Question 2: (10 marks) (10 min)

Suppose Soft People, Inc. is selling at $19.00 and currently pays an annual dividend of $0.65 per share. Analysts project that the stock will be priced around $23.00 in one year. What is the expected return?

Question 3: (30 marks) (50 min)

Consider a 30-year, fixed-rate mortgage for $100,000 at a nominal rate of 9%. If the borrower wants to pay off the remaining balance on the mortgage after making the 12th payment, what is the remaining balance on the mortgage?

Question 4: (10 marks) (10 min)

A German sports car is selling for 70,000 euros. What is the dollar price in the United States for the German car if the exchange rate is 0.90 euros per dollar?

Question 5: (15 marks) (20 min)

The duration of a $100,000 fixed-rate, 30-year mortgage with a nominal annual rate of 7.0% is 10.15. What is the expected percentage change in value if the required rate drops to 6.5% immediately after the mortgage is issued?

Question 6: (20 marks) (20 min)

Briefly discuss digital lending

End of Questions

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Formulas

$$i_c = \mathbf{C} / \mathbf{P}$$

$$P_0 = \frac{D_0(1+g)}{k_e - g}$$

$$P = \frac{r(PV)}{1-(1+r)^{-n}}$$

P = Payment
PV = Present Value
r = rate per period
n = number of periods

tax-free rate = taxable interest rate × (1 – marginal tax rate)

$$\frac{\Delta P}{P} = -\text{Duration} \times \frac{\Delta i}{1+i}, \quad \text{or} \quad \text{Duration} = -\frac{1+i}{\Delta i} \times \frac{\Delta P}{P}$$

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